



Glycerine (Asia-Pacific)

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[Overview](#) | [Outlook](#) | [Prices](#) | [Upstream](#)

Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Market activities slow down as year-end festive season approaches**
- **Buy-sell price gap continues to hamper spot trades**
- **Ample supplies from increased biodiesel output weigh on demand**

Asia's glycerine market remained subdued, with trades hampered by a wide buy-sell price gap.

Suppliers were pressured to unload their stocks due to the approach of the festive holiday season and the timeline for the financial year. For several countries, the fiscal year ends on 31 December.

However, sellers were confident that buying interest would pick up in December as buyers seek to procure material ahead of the Lunar New Year, which falls on 10 February next year.

Discussions were deadlocked with both buyers and sellers entrenched in a wait-and-see mode.

While there was talk of refined glycerine in plastic drums being sold into India at exceptionally low prices, these trades could not be confirmed or verified by the close of market.

Major producers from both Indonesia and Malaysia continued to keep their offers unchanged.

China spot interest was lukewarm, with buyers unwilling to lock in any large forward spot shipments, given the uncertainties.

With the global economy slowing down and China's economic recovery still not at full tilt, the glycerine spot trade has been plagued by ample supplies, sluggish demand and bearish market sentiment.

China's [factory activity](#) softened further in November, with the official manufacturing purchasing managers' index (PMI) slipping to 49.4 from the previous month's 49.5, according to the country's National Bureau of Statistics (NBS).

The figure marks a second consecutive contraction.

OUTLOOK

- **China spot interest may emerge in H2 Dec for Jan spot shipments**
- **Sellers holding on to stocks in anticipation of pick-up in demand in late-Dec**
- **Upstream palm oil fluctuations likely rangebound, unlikely to impact biodiesel**

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	260-270	n/c	265-270	11.79-12.25
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	n/c	560-640	n/c	560-640	25.40-29.03
CFR China Drummed	USD/tonne	n/c	560-640	n/c	560-640	25.40-29.03
FOB SE Asia Drummed	USD/tonne	n/c	540-600	n/c	540-620	24.49-27.22

Refined glycerine

Spot prices were assessed as unchanged in a subdued trading week.

Buyers and sellers stayed in a wait-and-see mode, with both parties reluctant to budge from their respective positions.

Spot offers were mostly pegged at around the \$600/tonne FOB SE Asia level for drummed shipments, with buying indications no higher than \$540/tonne FOB SE Asia.

Market talk of ample supplies from increased biodiesel output in Indonesia continued to weigh on demand.

Sellers with stocks in hand were heard to have unloaded their refined glycerine cargoes in high-density polyethylene (HDPE) or plastic drums at very competitive rates of around \$530/tonne CIF India.

However, details were limited, with verification and confirmation not forthcoming by the close of market.

Crude glycerine

Spot prices were assessed as flat on thin discussions and limited spot business.

A buy-sell gap continued to hamper trades.

Buying indications hovered around \$250/tonne CIF CMP for Brazil flexibags but sellers were unwilling to unload at this level.

A wait-and-see mode continued to characterise the market.

China spot interest for crude glycerine imports dwindled due to ample inventories from previous large shipments from Brazil.

Product from Brazil takes about 5-8 weeks for the product to be shipped to China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Crude glycerine from southeast Asia is typically at a higher 85% purity level.

Its duty-free status and quick delivery time of about a week allows it to command a premium.

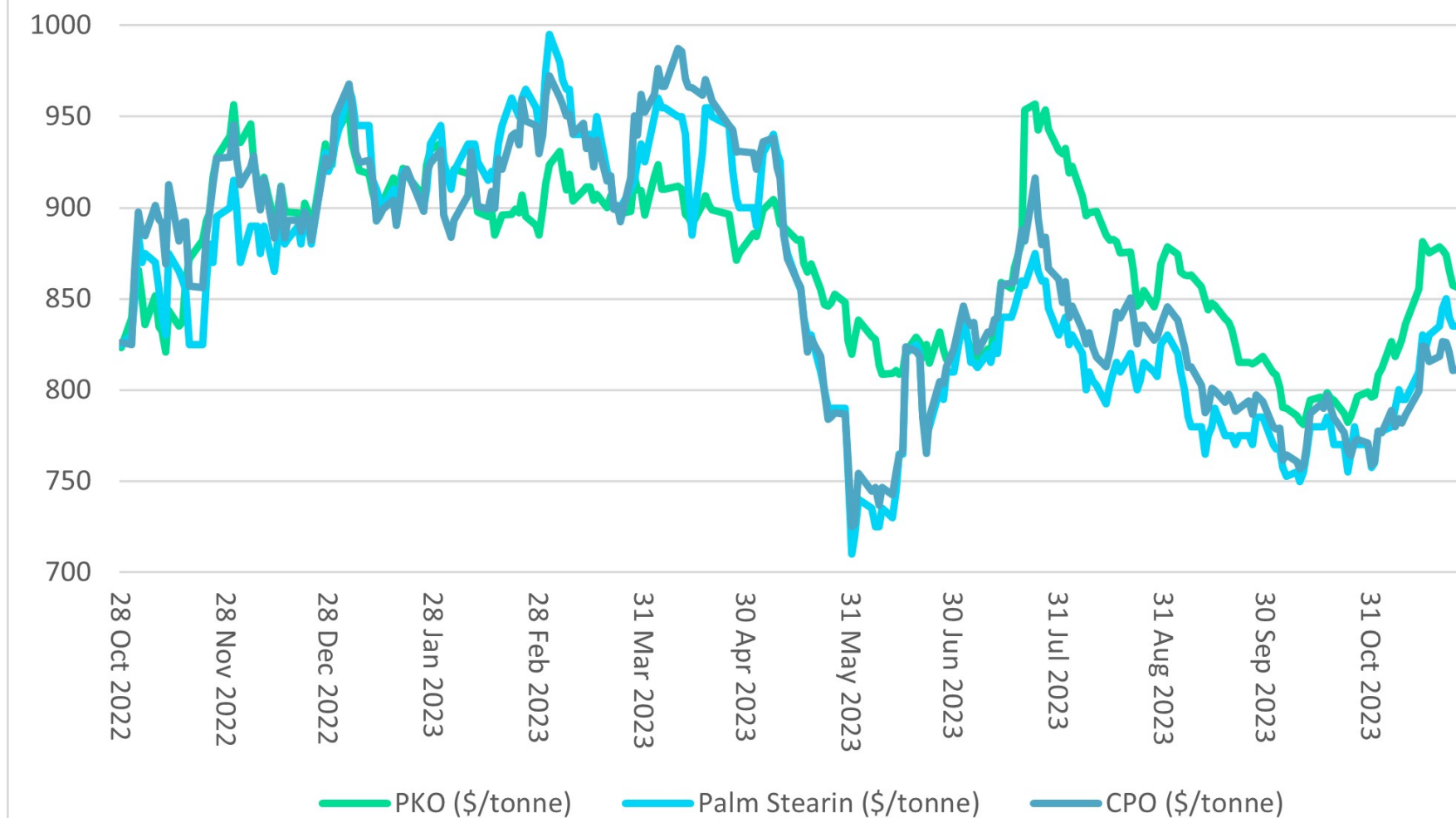
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	28 Nov	21 Nov
CPO	DEL, south Malaysia (M\$)	3,780.00	3,850.00
PKO	DEL, south Malaysia (\$)	853.28	876.93

Palm Olein	FOB, Malaysia (\$)	855.00	870.00
Palm Stearin	FOB, Malaysia (\$)	835.00	845.00
PFAD	FOB, Malaysia (\$)	760.00	780.00

All prices are on a per tonne basis.

Source: Matthes & Porton

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